

SENATE BILL 2505

By Oliver

AN ACT to amend Tennessee Code Annotated, Title 4 and
Title 50, relative to economic development.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 4, Chapter 3, Part 7, is amended by
adding the following as a new section:

4-3-740.

(a) As used in this section:

(1) "Commissioner" means the commissioner of economic and
community development;

(2) "Department" means the department of economic and community
development;

(3) "Economic development incentive" means a FastTrack job training
grant or economic development grant authorized under this part or a capital grant
authorized under chapter 15 of this title for economic development purposes
provided to an employer to attract or retain the employer's physical presence in
this state;

(4) "Employer" means a business entity that voluntarily pursues an
economic development incentive or enters into an agreement with this state for
the purpose of receiving an economic development incentive; and

(5) "Wages" means any remuneration owed to an employee for services,
including commissions, bonuses, incentive program rewards, and tips.

(b) To be eligible for an economic development incentive, an employer must
certify to the department that the employer pays each employee performing work on the

project for which the incentive is provided a wage that is no less than the rate established pursuant to subsection (c).

(c)

(1) Except as provided in subdivision (c)(5), on and after July 1, 2026, the minimum wage rate required to be eligible for an economic development incentive is twenty-one dollars and ninety-nine cents (\$21.99) an hour.

(2) On January 1, 2027, and on January 1 of each year thereafter, the commissioner shall adjust the wage rate based on the rate published by the Massachusetts Institute of Technology in its living wage calculator for the county in which the project is located for a household consisting of two (2) adults, one (1) of whom is working, and two (2) children.

(3) If the living wage calculator is no longer published or is otherwise unavailable for use, then the commissioner shall establish a comparable wage rate using data published by the United States department of labor, the United States department of housing and urban development, the United States department of commerce, or the United States department of agriculture.

(4) The commissioner shall calculate the adjusted rate to the nearest cent.

(5) The commissioner shall publish the adjusted wage rate and the methodology used to calculate the rate on the department's website by February 1 of each year. On and after February 1 of each year for which an adjusted wage rate is published, the wage rate published pursuant to this subdivision (c)(5) is the minimum wage rate required to be eligible for an economic development incentive.

(d)

(1) If the department determines that an employer who received an economic development incentive is paying an employee performing work on the project less than the wage rate established pursuant to subsection (c), the department must recover the amount of the economic development incentive provided to the employer.

(2) The department shall enforce subdivision (d)(1) in accordance with the separate agreement entered into between the department and the employer pursuant to § 4-3-731.

(e) The commissioner of economic and community development shall verify compliance with this section by reviewing payroll records or other documentation submitted by the employer upon request by the department.

SECTION 2. This act takes effect upon becoming a law, the public welfare requiring it.